

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

GREATWAY LOGISTICS GROUP, LLC, *Complainant*

v.

OCEAN NETWORK EXPRESS PTE. LTD., *Respondent*.

DOCKET NO. 21-04

Served: August 4, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON BOE’S MOTION TO INTERVENE

Greatway Logistics Group, LLC (“Greatway”) initiated this proceeding by filing a complaint alleging that Ocean Network Express Pte. Ltd. (“ONE”) violated 46 U.S.C. §§ 41102(c) and 41104(a)(4)(E) of the Shipping Act of 1984, and 46 C.F.R. § 545.4(d) of the Federal Maritime Commission regulations in connection with actions undertaken by ONE to collect freight, demurrage, and storage charges from a non-party to two bills of lading for ocean transportation. On July 2, 2021, ONE submitted an answer to the complaint denying the allegations and raising affirmative defenses.

On June 11, 2021, a motion for leave to intervene (“Motion”) was received from the Commission’s Bureau of Enforcement (“BOE”) pursuant to 46 C.F.R. § 502.68(c)(2)(ii) of the Commission’s Rules of Practice and Procedure. On July 16, 2021, an order was issued denying a motion to stay and setting a deadline for responses to BOE’s motion to intervene. On July 30, 2021, ONE filed a response opposing BOE’s motion to intervene (“Opposition”). No response has been received from Greatway.

Commission Rule 68(c)(2)(ii) specifically addresses intervention by BOE, stating: “The presiding officer or Commission may permit intervention by . . . the Commission’s Bureau of Enforcement upon a showing that its expertise is relevant to one or more issues involved in the proceeding and may assist in the consideration of those issues.” 46 C.F.R. § 502.68(c)(2)(ii).

BOE requests intervention to assist in developing the factual record, establishing a pattern of behavior, and focusing “on the lawfulness of Respondent’s collection efforts against not only the Complainant but other parties as well.” Motion at 3. “BOE seeks to participate fully as a party to this proceeding to include discovery, examination of witnesses, presentation of evidence, and submission of briefs.” Motion at 4.

ONE asserts that participation by BOE “would substantially expand and delay the proceeding, imposing an extreme burden on ONE,” permissive intervention is not appropriate because BOE’s motion is explicitly contrary to Rule 68(c)(2)(i), and BOE has never been permitted the sweeping intervention requested here. Opposition at 1, 4-8.

ONE does not contest that BOE’s expertise is relevant to one or more issues involved in the proceeding. Indeed, this case will require application of both the 2018 interpretive rule regarding section 41102(c) claims and the 2020 interpretive rule on demurrage and detention. BOE’s expertise is relevant to these legal issues. Additionally, pursuant to 46 C.F.R. § 545.4, for section 41102(c) claims, parties must establish that the “claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis,” and BOE’s expertise may be relevant to this factual issue. Thus, BOE meets the requirements for intervention set out in Rule 68(c)(2)(ii).

ONE asserts that BOE must also meet the general requirements for intervention found in Commission Rule 68(c)(2)(i), which states:

The presiding officer or Commission may permit anyone to intervene who shows that a common issue of law or fact exists between such person’s interest and the subject matter of the proceeding; that intervention would not unduly delay or broaden the scope of the proceeding, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party; and that such person’s participation may reasonably be expected to assist in the development of a sound record.

46 C.F.R. § 502.68(c)(2)(i).

Rule 68(c)(2)(ii), which specifically addresses intervention by BOE, does not state that BOE must meet the general requirements for anyone to intervene as well as the specific requirements for BOE. And, it seems unlikely that the Commission’s enforcement arm would be held to a higher standard for intervention than anyone else. Moreover, the requirements in sections (i) and (ii) overlap, suggesting that these are alternate standards. Compare 46 C.F.R. § 502.68(c)(2)(i) (“may reasonably be expected to assist in the development of a sound record”) with 46 C.F.R. § 502.68(c)(2)(ii) (“expertise is relevant to one or more issues involved in the proceeding and may assist in the consideration of those issues”). Therefore, BOE is not required to meet the intervention requirements in Rule 68(c)(2)(i).

In this proceeding, however, BOE meets the requirements of Rule 68(c)(2)(i). As discussed above, BOE’s participation may provide “a broader perspective than may be expected from the private litigants to the dispute” and may reasonably be expected to assist in the development of a sound record. Motion at 4. In addition, as the “Commission’s enforcement component representing the public interest,” BOE has common issues of law and fact regarding the Shipping Act claims raised in the complaint. Motion at 4.

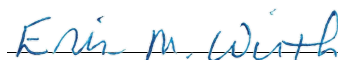
The remaining question is whether intervention would unduly delay or broaden the scope of the proceeding, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party. BOE asserts that it will not “unduly delay the proceeding” or prejudice adjudicative rights. Motion at 4. ONE is concerned about the additional time and expense of

discovery and briefing as well as the potential for burdensome and prejudicial “limitless scrutiny of ONE’s entire operations,” a “wide-ranging investigation,” and discovery regarding the “entirety of ONE’s operations.” Opposition at 5-6.

BOE has a related but not duplicative position to Complainant and BOE will not be permitted to unduly delay, broaden the scope, or prejudice the parties’ rights. BOE’s request for intervention comes before the parties have commenced discovery, which minimizes the potential for delay. Any intervention may result in additional time spent responding to discovery or briefs, and this type of delay may not be “undue.” However, intervention is not an invitation to go on a fishing expedition or engage in a wide-ranging investigation. BOE’s request to intervene should not broaden the scope of the proceeding and BOE will be expected to limit its participation to avoid undue delay. Given the requirement to establish facts regarding Respondent’s regulations and practices, however, whether or not ONE engaged in a practice beyond the shipments alleged in the complaint may be relevant, even if BOE does not intervene. This relevance would not extend, however, to other practices not at issue in this proceeding.

Respondent is correct that BOE does not frequently intervene, particularly in factual disputes. BOE should be aware of the additional time and expense its intervention could cause these private parties. Commission Rule 68(d)(2) permits the presiding officer to “impose reasonable limitations on an intervenor’s participation in order to: (i) Restrict irrelevant or duplicative discovery, evidence, or argument; (ii) Have common interests represented by a spokesperson; and (iii) Retain authority to determine priorities and control the course of the proceeding.” 46 C.F.R. § 502.68(d)(2). If a party believes that BOE is broadening the scope or causing undue delay, those concerns may be raised in an appropriate motion.

The risk that intervention may create undue delay and broadened scope does not justify denial of the request to intervene. Rather, the parties should discuss the scope and ground rules for discovery and briefing. Complainant, Respondent, and BOE, should work together to prepare the joint status report and proposed schedule, due on August 16, 2021.



Erin M. Wirth

Chief Administrative Law Judge